Case Study: Tap & Turf Holdings Pty Ltd

Confidential: Prepared for Internal Use Only *Project Boundary | Round 1 Indicative Bid*

Overview

Tap & Turf Holdings Pty Ltd ("Tap & Turf" or the "Company") is an Australian beverage concessions operator with exclusive pouring rights across eleven major stadiums in the eastern seaboard. The business was founded in 2014 by former hospitality entrepreneur Derek Solan, who identified a structural gap in the stadium F&B market: venue operators were managing bar concessions in-house with limited category expertise, high staff turnover, and poor revenue yield per head. Tap & Turf's pitch to venue partners was simple; outsource the problem, take a fixed concession fee plus revenue share, and let specialists run it.

The model has proven durable. Tap & Turf now holds long-dated concession agreements with venues including Stadium Australia, Marvel Stadium, Suncorp Stadium, and three A-League and NBL home grounds. The average remaining contract term across the portfolio is approximately eight years, with renewal options typically exercised at the venue's election. Venue relationships are managed by a small account team and reinforced through above-market venue revenue share rates that make switching unattractive for operators.

Business Model

Revenue is generated predominantly through on-premises beer, cider, and RTD (ready-to-drink) sales at stadium bars and roving cart services. Non-alcoholic beverages and a small range of stadium snacks (nuts, chips, jerky) contribute the remainder. Pricing is set by Tap & Turf within parameters agreed with venue operators, and the business has consistently applied modest price increases at contract renewal without material volume resistance, stadium attendees have demonstrated low sensitivity to beverage pricing relative to the cost of attending an event.

The cost base is predominantly variable. Casual labour accounts for the largest single cost item, engaged on an event-by-event basis through two labour hire partners. Product costs (COGS) are managed through a centralised procurement team, with national supply agreements in place with Lion and Asahi as the two primary beer suppliers. Overhead costs, including the central operations team, account management, and the Company's small corporate office in South Yarra, are relatively fixed and have historically grown in line with inflation.

The business is operationally capital-light by design. Tap & Turf does not own any stadium infrastructure; fit-out costs are borne by venue partners at lease commencement. The Company's primary capex requirement relates to bar equipment (taps, cooling systems, POS terminals) which are owned by Tap & Turf and installed across venues. Equipment is refreshed on a rolling cycle, with a full replacement program typically run every five to seven years per venue. Management have flagged that the Company is approaching the midpoint of its current replacement cycle across several venues simultaneously, which will create a modest step-up in capital spending over the near term before normalising.

Market & Industry Context

The live events and stadium entertainment market in Australia has recovered strongly following the COVID-19 disruption period. Total stadium attendance across the NRL, AFL, A-League, and major concert and entertainment events reached approximately 28 million visits in the most recently completed season, broadly in line with pre-pandemic highs. Industry analysts at IBISWorld and Deloitte Access Economics have both published commentary pointing to a continuation of attendance growth over the medium term, driven by stadium upgrades across Brisbane, Melbourne, and Perth ahead of the 2032 Brisbane Olympic Games and ongoing expansion of the A-League competition format.

Over the longer term, however, analysts caution that the post-Olympic tailwind will moderate as the infrastructure build-out completes and competition format expansion reaches saturation. The consensus view across the two reports is that sustainable long-run growth in stadium attendance, and by extension, ancillary spend, is likely to converge toward the low single digits, broadly in line with nominal GDP growth. IBISWorld's central case points to a long-run industry growth rate of approximately two and a half percent per annum once the medium-term catalysts have played out.

For Tap & Turf specifically, the addressable opportunity is expanding. The Company is currently in advanced discussions with two additional venue operators, one in Western Australia and one in South Australia, which, if executed, would meaningfully extend the footprint. Management have been deliberately conservative in guidance around these opportunities, noting that stadium concession contracts are long negotiation processes and that formal execution timelines are uncertain.

Competitive dynamics in the sector are relatively benign. The primary alternative to an operator like Tap & Turf is in-house venue management, which most major stadium operators have moved away from over the past decade. The only material competitor of comparable scale is SportsServ Australia, which holds pouring rights at three Sydney venues; however, SportsServ's parent company entered voluntary administration in early 2024 and the long-term stability of that business is in question.

Financial Performance

Tap & Turf has delivered consistent top-line growth over the five historical years provided in the model. Revenue growth has been supported by a combination of new venue additions (two contracts signed in FY22), modest per-event pricing increases, and a recovery in event volumes post-COVID. Looking ahead, management expects the underlying business, excluding any contribution from new venues currently in negotiation, to grow at a rate in the mid-single digits on a percentage basis annually. When pressed by the vendor's advisors on a specific range, the CFO indicated she was "comfortable anchoring to around five to seven percent per year for the existing portfolio, with upside if the WA and SA deals land." For modelling purposes, the advisors have suggested using the midpoint of management's guided range.

EBITDA margins have been relatively stable through the historical period, oscillating in a narrow band as labour cost efficiency improvements have broadly offset input cost inflation in beverages. Management's view is that the business has reached a structural margin level that reflects the natural balance between procurement leverage and the inherent labour intensity of event-based hospitality. The CFO noted in the vendor Q&A session that she sees "no particular reason margins would move materially in either direction, we're comfortable they'll hold at roughly the level you've seen over the last couple of years." Historically, the most recent two years represent the cleaner read on steady-state margin, as earlier years were distorted by COVID-related cost reductions and event cancellation impacts.

Depreciation and amortisation has historically run at a consistent percentage of revenue, reflecting the asset-light but equipment-dependent nature of the business. Management confirmed in the data room session that this ratio is expected to remain broadly consistent going forward, with the caveat that the near-term capex step-up will flow into the D&A line with a short lag. The historical D&A-to-revenue ratio from the most recent completed year should be used as the forward assumption.

Capital expenditure, as noted above, is expected to step up modestly over the near term given the equipment replacement cycle. The vendor's advisors have indicated that maintenance capex has historically run at approximately two percent of revenue. In the current replacement cycle period, management have guided to an additional one percent of revenue per year in growth/replacement capex on top of the maintenance base, which they expect to persist for the duration of the forecast period before returning to maintenance levels. For simplicity, the model should apply the combined rate across all forecast years.

Working capital dynamics are relatively straightforward. The business collects cash at point of sale (no receivables of consequence), but carries meaningful inventory given the requirement to pre-position stock across eleven venues in advance of event calendars. Payables are managed on standard 30-to-60 day terms with suppliers. Historically, working capital has been a modest annual cash outflow reflecting inventory build as the business grows. The Company's finance team confirmed that working capital movements have averaged approximately one and a half percent of revenue as an outflow in recent years, and that this is the right assumption to carry forward.

Other cash flows are limited. The Company has no material provisions, no significant one-off items expected in the forecast period, and no off-balance sheet arrangements of note. The Company does hold a small security deposit balance against venue leases (approximately $2.1 million at last balance date) which is not expected to change materially. For modelling purposes, other cash flows can be treated as nil.

Management & Ownership

Tap & Turf is privately held, with Derek Solan retaining a 62% equity stake. The balance is held by Solan's co-founder (18%) and a Sydney-based family office, Bridgemont Capital (20%), which invested in a growth round in FY21. Derek remains actively involved as Managing Director and has indicated a preference to stay on post-transaction in an operational capacity, subject to appropriate earnout and retention arrangements. The broader management team, including the CFO, Head of Operations, and two regional account managers, are considered key to retaining venue relationships and are expected to be part of any transition structure.

Key Risks

The primary risks to the investment thesis are:

1. Event volume and attendance sensitivity to macroeconomic conditions, particularly discretionary spend compression;
2. Labour cost inflation given the business's dependence on casual hospitality workers in a market that has seen above-inflation wage growth;
3. Venue concentration, with the top three venues contributing approximately 55% of revenue; and
4. Contract renewal risk, noting that while current agreements are long-dated, pouring rights are ultimately subject to competitive tender at renewal. The WA and SA expansion opportunities represent upside optionality but have not been included in the base case given execution uncertainty.

Key assumptions embedded (marking guide reference — not for student distribution):

Assumption	Where embedded
Revenue growth ~6% p.a.	CFO guidance "5–7%", use midpoint
EBITDA margin %	"Hold at roughly the level of the last couple of years" - take avg of last 2 historical years
D&A % revenue	"Remain broadly consistent... most recent completed year"
Capex % revenue	Maintenance 2% + growth 1% = 3% of revenue
Change in working cap	"~1.5% of revenue as an outflow"
Other cash flows	Explicitly nil
Terminal Growth Rate 2.5%	“IBISWorld's central case points to a long-run industry growth rate of approximately two and a half percent per annum”